

inadequate safeguards, weak audits, or integration with external systems whose risks were not understood.

External dependencies and oracle manipulation are prominent examples. A protocol can depend on another protocol or an external price source, with failure or manipulation then being propagated through the system. Everything seeks to reduce this dependency by deriving pricing internally from the activity and reserves in its own pool.

Rausis also argues that designers cannot identify every worst-case scenario. Systems can prepare for known risks, but cannot predict every shock. Infrastructure can reduce fragmentation and make execution more predictable for humans and AI agents. It cannot remove cybersecurity risk, external dependencies, or unknown events.

## **5.5 Wealth Management 3.0: Redefining Portfolio Management in Practice**

The Day 4 panel addressed the question of how artificial intelligence, digital assets, and new financial infrastructure can improve portfolio management in practice. The discussion applied a common test to all these developments by asking: What do they add to portfolio construction, risk analysis, investment access, and client service?

AI expands the amount of investment work a team can perform, enabling it to analyze companies, increase market coverage, and process information more quickly. Machine learning can also be used to assist with portfolio construction. Crittin described MFM's work with Gaussian processes, which examine distributions of possible outcomes rather than relying on a single estimate of risk and return. The objective is to build portfolios that display greater robustness across a variety of market conditions.

New tools and products do not create diversification by themselves. Lefort argued that managers must look through investment wrappers to identify the underlying exposures and stress-test the portfolio. Dr. Janoschek added that AI can support this analysis by identifying hidden risks. Crittin then highlighted a further constraint: Machine learning

requires historical data, which remains limited for newer asset classes. Data quality and depth therefore shape what these tools can do.

The same portfolio discipline applies to digital assets. Lemann reported cryptocurrency allocations of around 1 to 2% in some of Swissquote's medium to more aggressive portfolios, mainly in the form of Bitcoin, while stressing that the appropriate allocation depends on the investor. Crittin added that the limited history of cryptoassets makes it harder to stress-test their contribution and measure portfolio robustness. Digital-asset integration therefore requires managers to assess how these assets affect the portfolio, rather than treating their inclusion as an end in itself.

Tokenization is subject to another practical test, namely whether it creates useful access. Dr. Janoschek sees limited value in tokenizing assets that investors can already access easily, but tokenization has greater value when it opens the way investments that would otherwise be difficult, such as fractional ownership of large properties, bonds with high minimum denominations, and tradable units in private-debt funds. The relevant question is therefore what tokenization makes possible for the investor.

AI may also change how investment firms organize their work. Dr. Janoschek argued that the use of AI can reduce the cost of some forms of active management and later suggested that automation may reduce the scale advantage of larger firms. The panel also identified a key risk, with Lemann warning that greater reliance on technology can weaken professionals' understanding of complex products. Crittin described the related black-box effect: When clients cannot understand the portfolio or investment process, this can lead to a breakdown in confidence if there is a deterioration in performance.

Technology is also changing the balance between client control and delegation. Younger clients may seek more information and direct access, while other clients continue to delegate portfolio decisions. Lefort argued that these two positions are, in fact, compatible, since clients can enjoy greater transparency and control, while still delegating execution, expertise, and decisions about investment complexity. Crittin described this model as "transparent delegation," in the sense of sophisticated portfolio management combined with a clear understanding of the strategy adopted and its risks.

The panel thus insisted that investment discipline and human judgment remain at the center of portfolio management. While better tools can

strengthen analysis, portfolio construction, and personalization, their value still depends on reliable data, an understanding of underlying risks, and a clear link to the client's objectives. Transparency allows clients to understand how decisions are made and helps ensure the trust required for delegation.

## 5.6 What Day 4 Established

Day 4 provided the operational test for the broader argument made during the conference. AI, machine learning, digital assets, tokenization, and DeFi matter only when they improve a defined function, such as portfolio construction, risk analysis, access, execution, reporting, or client service. In the interviews, the novelty of a technology was repeatedly distinguished from its investment value: Crittin focused on robustness rather than prediction, Lefort linked adoption to portfolio fit and client understanding, Lemann and Dr. Janoschek combined automation with human supervision, and Rausis described infrastructure designed to reduce fragmentation, while acknowledging security and dependency risks.

The outcome was a more demanding definition of technological adoption. While better tools increase analytical capacity, they also increase the importance of data quality, explainability, and professional judgment. More assets can be made accessible, but access does not determine suitability. More automation can reduce operating work, but identifiable institutions and professionals continue to bear responsibility. Day 4 began defining Wealth Management 3.0 in terms of how rigorously firms integrate technology into portfolio construction, risk analysis, and client decision-making.



# 5.6 What Day 4 Established

Speakers

## Florian Lefort

### Takeaway 1

Digital assets now have a place in diversified portfolios, with allocation depending on the client's risk profile.

### Takeaway 2

AI improves research, reporting, and operational efficiency, enabling managers to devote more time to analysis and clients.

### Takeaway 3

Technology increases the need for understanding and explanation: Managers must understand innovations before investing in them or presenting them to clients.



## Frank Crittin

### Takeaway 1

Portfolio construction should focus on robustness rather than prediction. Financial markets are not reliably predictable, but portfolios can be built to withstand a variety of conditions.

### Takeaway 2

Diversification depends on how assets behave together. Different return drivers strengthen portfolio construction, while machine learning improves the analysis of their interactions.

### Takeaway 3

AI expands investment analysis, while trust depends on the manager. Reliable data and verification support investment decisions, while understanding client needs and explaining these decisions sustain trust.

## Robin Lemann & Dr. Andreas Janoschek

### Takeaway 1

AI expands analytical and operational capacity, from investment analysis and risk detection to reporting, onboarding, and compliance.

# 5.6 What Day 4 Established

Speakers

---

## Robin Lemann & Dr. Andreas Janoschek

### Takeaway 2

AI can reduce some of the advantages of institutional scale, giving smaller wealth managers broader analytical and operational capabilities

### Takeaway 3

Human judgment and responsibility remain central, from reviewing AI outputs and investment decisions to understanding clients and maintaining trust.

---

## Jean Rausis

### Takeaway 1

DeFi needs simpler and more capital-efficient infrastructure to support wider adoption. Combining trading, lending, and borrowing within a single liquidity layer can reduce fragmentation and the need to navigate multiple protocols.

### Takeaway 2

AI agents require predictable financial infrastructure. Deterministic execution and verifiable on-chain data can reduce the uncertainty faced by agents when interacting with multiple protocols.

---

## Jean Rausis

### Takeaway 3

DeFi security depends on the design and interaction of protocols. External integrations, oracle manipulation, and uneven audit quality create risks that require stronger safeguards and due diligence.

---

## Day 4 panel

### Takeaway 1

Innovation must improve investment outcomes. AI, digital assets, and tokenization matter when they improve portfolio construction, analysis, or investment access.

### Takeaway 2

Diversification depends on underlying risks and asset interactions. Managers must look through investment structures, test exposures, and understand how assets behave together.

### Takeaway 3

Technology enables more personalized and efficient wealth management. AI can expand analytical capacity, reduce the cost of active management, and enable smaller teams to deliver more sophisticated services.

Day 4 resulted in a more precise definition of innovation, paving the way for the question of what wealth management will look like in 2035. This future is not one in which every new technology is adopted, but one in which institutions can distinguish useful capabilities from novelties and gimmicks, automate processes without sacrificing accountability, and expand access without obscuring risk. Day 5 took the question of operating discipline further, asking what skills, governance, and institutional choices will be required if financial infrastructure becomes increasingly programmable and AI supported.



# 6

## The Wealth Manager in 2035: Defining an Ambition

The preceding chapters described historically developed capabilities, increasingly complex demand, a financial center under competitive pressure, and new technologies entering the field of portfolio management. Day 5 asked what meaning these developments could take on by 2035. The speakers did not articulate a unitary architecture for the future of finance, but rather envisaged combinations of public and private networks, centralized and decentralized controls, AI-supported portfolio tools, new forms of transparency, and increasingly programmable assets. Across these various projections, however, several responsibilities remain visible: understanding the client, governing data and risk, explaining decisions, assigning accountability, and deciding which technologies deserve institutional adoption. This chapter therefore treats the question of 2035 as one about capabilities rather than prediction. The central issue is not which interface or blockchain will dominate, but what institutions and professionals must be able to do as financial infrastructure becomes more automated, interconnected, and technically complex.



## 6.1 Programmable Finance without a Predetermined Architecture

By 2035, Eric Rabl and Gauthier Vila predict that blockchain, decentralized finance, and artificial intelligence will have reshaped financial infrastructure, but they do not expect a single settled architecture. Vila already uses AI in trading and blockchain operations, while treating hallucinations as a practical constraint. Zyfai does not allow AI to execute transactions directly: AI supports the algorithm and monitoring, while predefined rules govern execution. For Vila, automation requires reliable data and explicit guardrails.

Rabl approached the transition through DeFi. He sees institutions entering a market that, only a few years ago, was largely crypto-native and tokenization bringing real-world assets on-chain. Both expect blockchain infrastructure to become more widely used. Vila anticipates public and private networks with different levels of confidentiality and continuous operation. Rabl expects clients to keep familiar interfaces, while blockchain and DeFi increasingly operate underneath them, much as internet users rely on protocols they do not see.

AI could also broaden access to investment capabilities. Vila expects individuals to gain access to tools now used mainly by institutions and wealthy investors, including sophisticated algorithms and continuous monitoring, while Rabl expects AI to improve portfolio management, trading and decision-making, but not to guarantee superior relative returns. If comparable tools become widely available, investors will still be competing against others who are also using them.

They both retain a role for the wealth manager. Vila expects managers to understand AI and DeFi, to know their clients, and to provide suitable data to automated systems, while Rabl expects established strategies to become easier to automate, shifting the attention of professionals toward capital protection, protocol assessment, and client relationships.

The clearest difference between them concerns institutional DeFi. Rabl expects licenses, audits, and controls, and accepts some centralization because banks cannot place client savings in uncontrolled protocols. Vila expects standards, audits, insurance, and regulation to improve

security, while enabling meaningful decentralization and client control of assets. While they both expect deeper technological adoption, neither of them presents the institutional structure of 2035 as settled. Vila's closing projection emphasized lower-cost access and greater individual control. However, Rabl defined mainstream adoption differently: DeFi will have become ordinary infrastructure when clients use it through financial institutions without realizing that it executed the transaction. The two projections also imply different client relationships with infrastructure. Vila places greater weight on self-custody and direct control, while Rabl expects regulated institutions to absorb more of the complexity. They both made security and controlled automation conditions for wider adoption.

## 6.2 Competitiveness Begins with Institutional Choice

Biba Homsy described Swiss financial resilience in terms of predictability, compromise, and gradual adaptation. Switzerland has adapted progressively to industrialization, globalization, and digital transformation. Discussions among legislators, authorities, courts, and market participants have supported this process. When problems emerge, they can move through this system and contribute to its evolution.

Client trust informs Homsy's view of competitiveness. Financial institutions must understand their clients' interests and the situations in which they place them. She described the Swiss approach as pragmatic: assess the situation, identify the client's interest, and implement an appropriate solution.

For digital assets, Homsy started with the underlying asset. Tokenized gold remains gold and tokenized shares remain financial instruments, while digitally native crypto-assets can have different characteristics. The institution's business model also matters. Wealth managers, asset managers, and banks may approach digital assets in different ways.

Banks generally develop new services within their existing field of activity, while partnerships can extend their offering without changing their core business. Moving into adjacent activities can require changes to governance, infrastructure, cybersecurity, crisis management, marketing, and client relationships.

Homsy takes the same pragmatic view of regulation. The proposed revision of the Financial Institutions Act would strengthen requirements for stablecoins and introduce provisions affecting payments and crypto-asset service providers. She questioned whether the proposed framework suits Switzerland, pointing to the implementation of MiCA in Europe. Her experience in Luxembourg involved demanding requirements for CASP authorization, white papers, and admission to trading. She considers the European framework to be too new to assess fully and favors Swiss regulation adapted to the assets in question.

Wealth managers are taking different approaches to digital assets. Some are seeking partnerships with specialized digital-asset portfolio managers, while larger firms may develop their capabilities internally. Tokenization presents another challenge. Switzerland has a strong framework for primary issuance, but institutional participation and secondary-market liquidity remain limited. Portfolio managers require trading platforms and sufficient liquidity if they are to include tokenized instruments in client portfolios. Homsey identified market participation as the next requirement for wider adoption.

Digital assets also create operational risks. FINMA has asked banks and asset managers to examine how crypto-assets are held and custody risks managed. Homsey identified cybersecurity as a major vulnerability, particularly for mid-sized asset managers and smaller banks. Financial institutions must protect the assets they manage as they develop new investment capabilities.

For DeFi, Homsey started with the question of how it operates. Regulators examine who makes decisions, who controls the smart contract, how financial flows are organized, and who benefits from them. Depending on its structure, a decentralized model may fall under existing rules for collective investment or banking. FINMA examines these characteristics in order to determine which existing rules apply.

Taken together, Homsy described digital transformation as part of the continuing adaptation of Swiss finance. Institutions can adopt new assets and technologies, while assessing their fit with existing business models, governance, and risk management. For Homsy, this pragmatic approach keeps client interests and trust at the center of change.

## 6.3 The Wealth Manager in 2035: Augmented

Tilmar Wilhelm Goos and Gleb Kurovskiy discussed how blockchain and artificial intelligence could change portfolio management as financial products become increasingly digital. Goos situated tokenization within a broader shift toward digital financial products, while Kurovskiy described blockchain as programmable technology and stated that he expects different implementations to develop, from permissioned to permissionless networks. The appropriate model, in his view, will depend on users' needs and positioning.

Kurovskiy expects portfolio selection and allocation to remain part of asset management. Blockchain is adding new assets to the investment universe, while AI is making analytical tools easier to build. This lowers barriers to entry and may increase the number of investment teams and the level of competition. However, asset managers must still conduct differentiated fundamental analysis, explain their decisions, and earn trust. Goos agreed that portfolio managers will remain, while arguing that digital assets require additional skills. Analyzing them may include code quality, bugs, and audits. Portfolio managers must also understand changes taking place in digital-asset regulation.

Blockchain also provides new ways to assess investment activity. Kurovskiy points to protocols where investors can observe a manager's strategy and activity on-chain. Managers can show their trades and convictions, as well as explain their decisions, thus providing investors with a visible record of activity to assess. Goos emphasized the speed and transparency of on-chain information. Blockchain explorers can show wallet holdings and performance, while code can be inspected for

bugs, hacks, misleading information, or back doors. Settlement can also occur in real time. Kurovskiy identified hacking as an additional risk associated with crypto-assets.

Goos sees a financial system in which everything is on-chain as a distant prospect. While he pointed to certain advantages of blockchain, including fractional access to assets, he also noted that 24/7 markets impose demands that the industry must learn to manage. He expects these developments to lead to a change in the skills required of portfolio managers.

Kurovskiy identified standards and interoperability as unresolved issues. Tokenized money-market funds already use different structures, even when they represent similar products. He suggested that aggregators may emerge that can operate across different standards, stating that substantial work likely remains before the industry is able to achieve greater interoperability.

Looking toward 2035, Goos expects that investors will manage their portfolios actively on mobile devices, potentially with the assistance of AI agents. However, he still believes that the final investment decision will remain with the investor. For his part, Kurovskiy expects portfolio management, earning, and borrowing to become available through the same interface, at competitive rates and a low cost.

Both speakers also discussed how financial education may change. Goos argued that students should combine financial theory with information technology and law, learning to manage ambiguity as technology and regulation evolve. Kurovskiy stated that he sees a role for AI-based learning tools grounded in material reviewed by experts. He also emphasized communication, business development, and partnership-building. In his view, structured activities such as coding may become easier to automate, increasing the importance of skills based on human interaction.

The audience discussion returned to the issue of financial infrastructure. Goos distinguished between public and private blockchains, claiming that he expects them to develop differently. Private networks may remain highly segregated, making interoperability between systems an important unresolved problem. Kurovskiy identified financial inclusion, broader access, and faster settlement as benefits of the new